Every year begins with hope, a clean slate and lower financial stress. This year was no different for most tax-paying families, with resolutions made and an eagerness to put the past behind them and plan for a better future. Yet, amid rising global economic uncertainty, stagnant incomes, rising cost of living and fear of AI displacing jobs, widespread anxiety has taken over our day-to-day lives. In this landscape, one's personal finances require vigilance and proactiveness to protect what one has and build on it.

Looking back, 2025 tested the patience of most investors. The Sensex posted a little over 8 per cent return for the year and has yet to reach the 85,836 high of September 26, 2024. The news that foreign institutional investors (FII) sold Indian equities worth Rs 1.6 lakh crore in calendar year 2025, the most in about two decades, is worrisome. This outflow was offset by continued confidence among small investors in Indian markets, as SIP investments rose to Rs 3.34 lakh crore for the year. The monthly SIP contributions crossed the Rs 30,000 crore mark for the first time in December 2025.

How will 2026 be for our financial lives? At a fundamental level, we all want to save more, pay less tax, achieve our financial goals and be realistic about what money can do for us. The data may indicate inflation at under 3 per cent, but the reality is far from that. Every time you pay for household goods, you end up spending more on the same items, or buying fewer items in the same budget. The role of household budgets isn't as straightforward as it used to be but more dynamic and fluctuating. You need to plan your household expenses to keep up with these changes.

SAVINGS AND EXPENSES

A way to address this is to increase your emergency fund to a level beyond the earlier ballpark 3-6-month level. At the same time, you need to factor in fluctuations in monthly household expenses. You may end up saving less than before, a reality you may already be living with. To offset this reduction in savings, you need to identify ways to increase your household income rather than just cut expenses. The gig economy offers opportunities to explore ways to build skills that can increase your earnings.

THE ROLE OF HOUSEHOLD BUDGETS ISN'T AS STRAIGHTFORWARD AS BEFORE. YOU MUST PLAN THEM TO ACCOMMODATE FREQUENT CHANGES

Savings through bank deposits are not encouraging. The interest rate on a savings account barely retains any value after adjusting for inflation. The bank account should be treated as a passkey and no more. A liquid fund, on the other hand, is a straightforward way to save money and can be accessed at any time. Likewise, with the new tax regime becoming the default income tax for most taxpayers, one should no longer try to invest to save taxes.

List your financial needs and identify tax-efficient ways to meet them instead of trying to fit tax savings into financial choices. This way, you can consider greater liquidity in your financial decisions, rather than being stuck with choices that may involve longer lock-ins and higher exit costs. This approach will help you make financial decisions based solely on your needs and goals, rather than being influenced by tax incentives. Life insurance then becomes a financial backup for your family, not a savings or investment tool.

FINANCIAL PLANNING

Think of a financial plan as a personalised roadmap that outlines your current financial situation, your goals for the future, and the specific steps you need to take to reach them. For some people, it may be worth engaging

LIQUID FUNDS VS BANK SAVINGS ACCOUNT

Liquid funds are debt mutual funds that invest in ultra-short-term debt and money market instruments with a maximum maturity window of 91 days. Treasury bills, commercial papers, certificates of deposit and other government securities, as specified by the RBI from time to time, are the assets liquid funds invest in. Compared with the 3-4 per cent interest in a bank savings account, liquid funds have returned 6-7 per cent in the past year.

You can access your investments in these funds within a day, and certain funds allow instant access within specified limits. However, unlike savings bank interest, these do not guarantee returns. There are no lock-ins, though it makes sense to keep money in these for a few weeks to up to a year for optimal returns. The returns from liquid funds are taxed as capital gains only upon redemption. In other words, you pay taxes only when you redeem your liquid fund investment. In the case of interest from a bank savings account, the interest above Rs 10,000 is treated as income and taxed as per your tax slab. For senior citizens, this limit is Rs 50,000. Depending on your age and circumstances, you may prefer liquid funds to a bank savings account.